5.2

Cash Flow Forecast

Cambridge IGCSE Business

- Why Cash Matters
- Cash vs Profit
- Forecast Features
- Reading a Forecast
- Cash Flow Problems
- Solutions

Cash Flow Forecast

Cash flow is the movement of money into and out of a business. Understanding, reading and improving a cash flow forecast is one of the most practical and heavily examined topics in IGCSE Business.

- Explain why cash is vital to a business
- Identify the five features of a cash flow forecast
- Amend and interpret a simple cash flow forecast
- Identify cash flow problems and recommend solutions

Why Cash Matters

Cash vs profit · The importance of liquidity

Why Cash is Important to a Business

Cash is the money a business has immediately available — in the bank or as physical notes. Without cash, a business cannot pay its bills, even if it is profitable.

Cash vs Profit — NOT the Same Thing

CASH

What it is:
Money physically available in the bank account RIGHT NOW

A business needs cash to:
- Pay wages and suppliers
- Pay rent and utility bills
- Buy stock and materials
- Survive day to day

Can be profitable but still run out of cash

PROFIT

What it is:
Revenue minus all costs over a given accounting period

Profit is important for:
- Rewarding the owner / shareholders
- Reinvesting to grow the business
- Measuring business success
- Attracting investors and lenders

Profit does not mean cash is available now

Profitable but out of cash?

This happens when a business sells on credit — the sale is recorded as revenue (profit) but the cash has not yet arrived. Meanwhile bills still need paying.

Example: A builder completes a £20,000 job in January. The client pays in March. In February the builder must still pay wages, materials and rent — but has no cash.

Why cash is essential:

- Pay wages on time — employees need to be paid regardless of whether customers have paid yet
- Pay suppliers — trade credit will be withdrawn if invoices are not settled, disrupting production
- Cover fixed costs — rent, utilities and insurance must be paid even in quiet periods with low sales
- Repay loans — banks can demand repayment and damage the business's credit rating if payments missed
- Invest in growth — new opportunities require immediate cash commitment before returns are seen

Exam tip: CASH and PROFIT are different. A business can be profitable but fail because it runs out of cash. This is called insolvency. Cash flow problems are the most common cause of business failure.

The Cash Flow Forecast

What it is · How to read it · How to improve it

The Cash Flow Forecast – Five Key Features

A cash flow forecast is a document that predicts the expected cash inflows and outflows of a business over a future period — usually month by month.

The Five Key Features of a Cash Flow Forecast

Cash Inflows

All money coming INTO the business: cash sales, credit sales received, loans taken out, asset sales

Example:
Customer pays £5,000 for an order · bank loan received

Cash Outflows

All money going OUT of the business: wages, rent, stock, utilities, loan repayments

Example:
Wage bill paid · supplier invoice settled

Net Cash Flow

Inflows minus Outflows for the period. Positive = cash surplus. Negative = cash deficit.

Example:
£8,000 in – £6,500 out = + £1,500 net

Opening Balance

The cash held at the START of the month — this is the previous month's closing balance

Example:
Jan closing balance becomes Feb opening balance

Closing Balance

Opening Balance + Net Cash Flow. This is the cash left at the END of the period.

Example:
£2,000 opening + £1,500 net = £3,500 closing

Why cash flow forecasts are important:

Spot problems early	Identify months where the closing balance goes negative — plan for them in advance
Secure bank finance	Banks require a cash flow forecast before granting a loan or overdraft facility
Plan for growth	Ensure there is enough cash to fund expansion before committing to it
Monitor performance	Compare actual cash flows against the forecast — identify where the plan went wrong

Exam tip: Know the formula chain: Net Cash Flow = Total Inflows – Total Outflows. Closing Balance = Opening Balance + Net Cash Flow. The closing balance becomes next month's opening balance.

Reading a Cash Flow Forecast – Worked Example

In the exam you may be given a cash flow forecast and asked to complete missing figures, identify problems or suggest improvements. Always show your working.

Cash Flow Forecast — Riverside Café (Jan–Jun 2026)

	Jan	Feb	Mar	Apr	May	Jun
INFLOWS						
Cash sales	£4,200	£4,800	£5,500	£6,200	£6,800	£7,400
Catering bookings	£800	£600	£1,200	£900	£1,500	£1,100
Total Inflows	£5,000	£5,400	£6,700	£7,100	£8,300	£8,500
OUTFLOWS						
Rent	£1,200	£1,200	£1,200	£1,200	£1,200	£1,200
Food / stock	£1,800	£2,000	£2,300	£2,500	£2,800	£3,000
Wages	£1,500	£1,500	£1,500	£1,500	£1,500	£1,500
Utilities	£300	£300	£250	£250	£200	£200
Total Outflows	£4,800	£5,000	£5,250	£5,450	£5,700	£5,900
Net Cash Flow	£200	£400	£1,450	£1,650	£2,600	£2,600
Opening Balance	£0	£200	£600	£2,050	£3,700	£6,300
Closing Balance	£200	£600	£2,050	£3,700	£6,300	£8,900

Closing Balance = Opening Balance + Net Cash Flow - Closing balance each month becomes the next month's opening balance

Exam tip: Closing Balance = Opening Balance + Net Cash Flow. If the closing balance is NEGATIVE, the business has a cash flow problem and must act — arrange an overdraft, chase debtors or delay payments.

Cash Flow Problems – Causes and Short-term Solutions

A negative closing balance on a CF forecast means the business will not have enough cash. Managers must act quickly to fix the problem before it threatens the business.

Cash Flow Problems — Causes and Solutions

Common Causes of Cash Flow Problems

- **Customers pay late:** Debtors take 60+ days — cash owed but not yet received
- **Overtrading:** Grows too fast — takes orders it cannot finance in advance
- **Seasonal demand:** Holiday camp has income in summer but costs all year round
- **Unexpected expenses:** Machine breaks down — repair bill empties the cash balance
- **Poor forecasting:** Underestimates costs or overestimates revenue — shortfall app

Short-term Solutions

- **Bank overdraft:** Borrow up to agreed limit to cover the gap immediately
- **Chase debtors:** Offer early payment discounts — get cash in faster
- **Delay supplier payment:** Negotiate extended trade credit — pay in 60 not 30 days
- **Delay asset purchase:** Postpone buying new equipment until cash position imp
- **Sell unused assets:** Release cash by selling machinery or vehicles no longe

Evaluating each short-term solution:

Solution	How it helps	Drawback
Arrange an overdraft	Immediate access to cash to cover the gap	Expensive interest rate · repayable on demand · not a long-term fix
Ask customers to pay faster	Speeds up inflows — reduces gap between sale and cash	Customers may go elsewhere if pushed for early payment
Delay paying suppliers	Keeps cash in business longer — extending credit	Damages supplier relationship · may lose discount or credit terms
Delay buying non-current assets	Preserves cash for essential short-term payments	May limit productivity or growth if asset is urgently needed
Sell unused assets	One-off cash injection to plug the gap	Reduces future capacity · one-time fix only

Exam tip: Always evaluate your solution. An overdraft is quick but expensive. Delaying suppliers damages relationships. Asking customers to pay faster risks losing them. State the trade-off.

Key Revision Checklist – 5.2 Cash Flow Forecast

Why cash matters	Pay wages, suppliers, rent and loans. Cash is NOT the same as profit. Profitable firms can still fail without cash.
Cash vs Profit	Profit = Revenue – Costs (accounting). Cash = money physically available now. A sale on credit is profit but not cash.
Cash inflows	All money coming IN: cash sales, credit sales received, loans taken, grants, asset sales, owner investment
Cash outflows	All money going OUT: wages, rent, stock, utilities, loan repayments, tax, marketing spend
Net cash flow	Total Inflows – Total Outflows for the period. Can be positive (surplus) or negative (deficit)
Closing balance	Opening Balance + Net Cash Flow = Closing Balance. This becomes NEXT month's opening balance.
Why forecast	Spot problems early, secure bank finance, plan for growth, monitor performance against predictions
Overdraft solution	Quick and flexible — but expensive. Interest charged. Repayable on demand. Not a long-term solution.
Delay suppliers	Keeps cash in business — but damages supplier relationships and may lose trade credit terms